

30th August 2017

The Directors of Home Afrika limited are pleased to announce the unaudited Group results for the 6 Months period ended 30th June 2017.

Condensed Consolidated Statement of Profit or Loss And Other Comprehensive Income	6 Months to 30 June	
	2017 Shs '000'	2016 Shs '000'
Revenue	92,474	54,346
Cost of sales	<u>(75,274)</u>	<u>(38,286)</u>
Gross profit /(loss)	17,200	16,060
Other operating income	7,638	5,473
Total operating expenses	(107,514)	(64,593)
Operating loss	(82,676)	(43,060)
Finance costs	<u>(47,590)</u>	<u>(53,958)</u>
Loss for the period	(130,266)	(97,018)
Tax (credit)/charge	<u>27,347</u>	<u>(2,396)</u>
Total Comprehensive Loss for the period	<u>(102,919)</u>	<u>(99,414)</u>
Loss attributable to:		
-Owners of the parent	(89,786)	(96,468)
-Non –controlling interest	<u>(13,133)</u>	<u>(2,946)</u>
	<u>(102,919)</u>	<u>(99,414)</u>
(Loss) per share		
-basic and diluted	<u>(0.22)</u>	<u>(0.24)</u>

Condensed Consolidated Statement of Financial Position	As at June 2017 Shs'000'	As at December 2016 Shs '000'
Non-current assets	747,496	747,078
Current assets	3,358,714	3,182,933
Current liabilities	(4,265,775)	(3,953,104)
Net current liabilities	(907,061)	(770,171)
	(159,565)	(23,093)
PRESENTED BY		
Share capital	405,255	405,255
Share premium	68,842	68,842
Accumulated deficit	(798,681)	(708,895)
Equity attributable to owners of the company	(324,584)	(234,798)
Non –Controlling interest	11,498	24,631
Non- current liabilities	153,521	187,074
	(159,565)	(23,093)

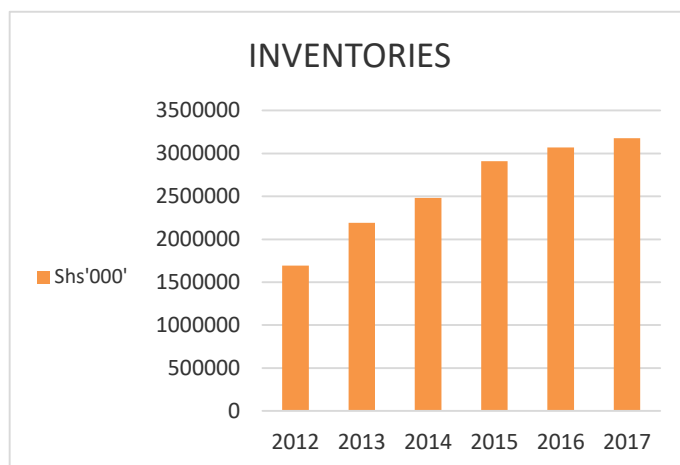
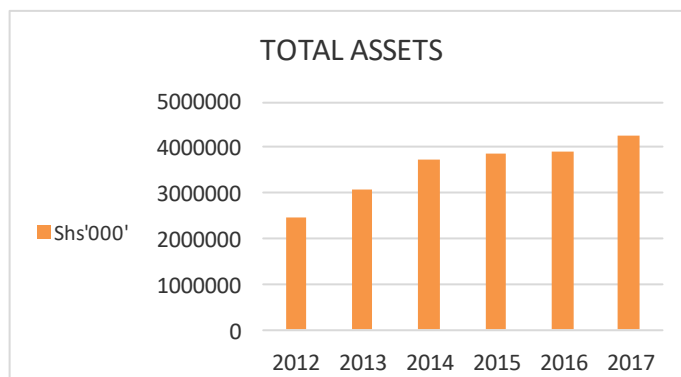
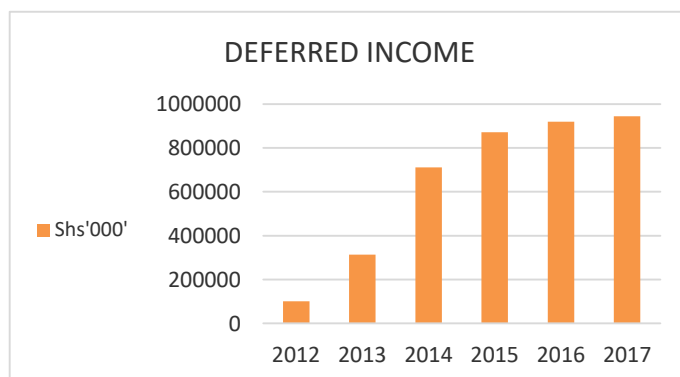
Explanatory notes: These results are extracted from the unaudited consolidated financial statements of Home Afrika Limited for the 6 month period ended 30th June 2017.

Condensed Consolidated Statement Of Changes In Equity for the 6 month period ended 30 June 2017

	Ordinary Share capital	Share premium	Retained earnings	Total	Minority interest	Total equity
	Shs '000'	Shs '000'	Shs '000'	Shs '000'	Shs '000'	Shs '000'
For the period ended 30 June 2016						
At start of period	405,255	68,842	(552,817)	(78,720)	37,011	(41,709)
Total comprehensive (loss) for the period	-	-	(96,468)	(96,468)	(2,946)	(99,414)
At end of period	405,255	68,842	(649,285)	(175,188)	34,065	(141,123)
For the period ended 30 June 2017						
At start of period	405,255	68,842	(708,895)	(234,798)	24,631	(210,167)
Total comprehensive (loss) for the period	-	-	(89,786)	(89,786)	(13,133)	(102,919)
At end of period	405,255	68,842	(758,113)	(324,584)	(29,070)	(313,086)

Condensed Consolidated Statement Of Cash Flows for the 6 month period ended 30 June 2017

	30 Jun 2017	31 Dec 2016
Cash generated from operations	46,019	100,791
Interest Paid	(93,860)	(115,545)
Tax Paid	(2,661)	-
Net Cash used in Operating Activities	(50,502)	(14,754)
Net Cash flow from Investing Activities	(306)	(45)
Net Cash flow from Financing activities	56,236	(21,706)
Net Cash Increase/ (Decrease) in Cash and Cash equivalent	5,428	(36,505)
Cash as cash equivalents at the beginning of the period/year	7,986	44,491
Cash and Cash equivalents at the end of the period/year	13,414	7,986



1. FINANCIAL HIGHLIGHTS

1.1 Despite an unfavorable political and economic environment, the group reported a 43.9% increase in revenue in the year 2017 compared to 2016 from KSh 54 million to KSh 92 million. There was also a relative increase of cost of sales in the year 2017 compared to 2016 from KSh 38 million to KSh 75 million. This was largely the effect of the suppressed selling prices of the units sold off plan in our Mitini Scapes Development within Migaa. The gross margins were thus lower.

1.2 The deferred revenue & deposits from sales of plots grew from KSh 2 billion in 2016 to KSh 2.2 billion in 2017. In line with our accounting policy, these amounts are carried as current liabilities in the balance sheet but will convert to revenues in our profit and loss statement as we increase the investment in the projects and thereby increase the percentage of completion. With the road works at our Migaa Golf Estate now well underway, we estimate to have completed this and other project infrastructure works by the end of 2019. This will

effectively see a majority of the deferred revenue and deposits from sales of plots translate to revenue in the profit and loss statement.

1.3 The book value of the group's sellable land or land bank also grew marginally from KSh 3.06 billion in 2016 to KSh 3.18 billion in 2017. This signifies continued investment into the various projects in an effort to bring them to completion. This investment helps improve the market value of the land bank as the land becomes more desirable period to period.

1.4 The group improved its percentage of completion, especially at its Migaa Golf Estate, the premier golf estate development in Kiambu County. The projects' percentage of completion, which determines how much deferred revenue is moved from the balance sheet and booked as sales of the group, will continue increasing over time, especially as current road and other works are implemented.

2. STATUS OF RESTRUCTURING:

2.1 The process of fundraising that was approved by shareholders during the Annual General Meeting in June 2016 has so far progressed very well. We are hopeful that this process will be successfully concluded and the funding committed to by a strategic investor by the first half of 2018. The funding acquired will be used primarily to facilitate completion of projects and thereby help increase profitability and improve shareholder value.

The directors do not recommend a dividend for the period ending 30th June 2017

BY ORDER OF THE BOARD

Violet Kimotho
Company Secretary
31st August, 2017